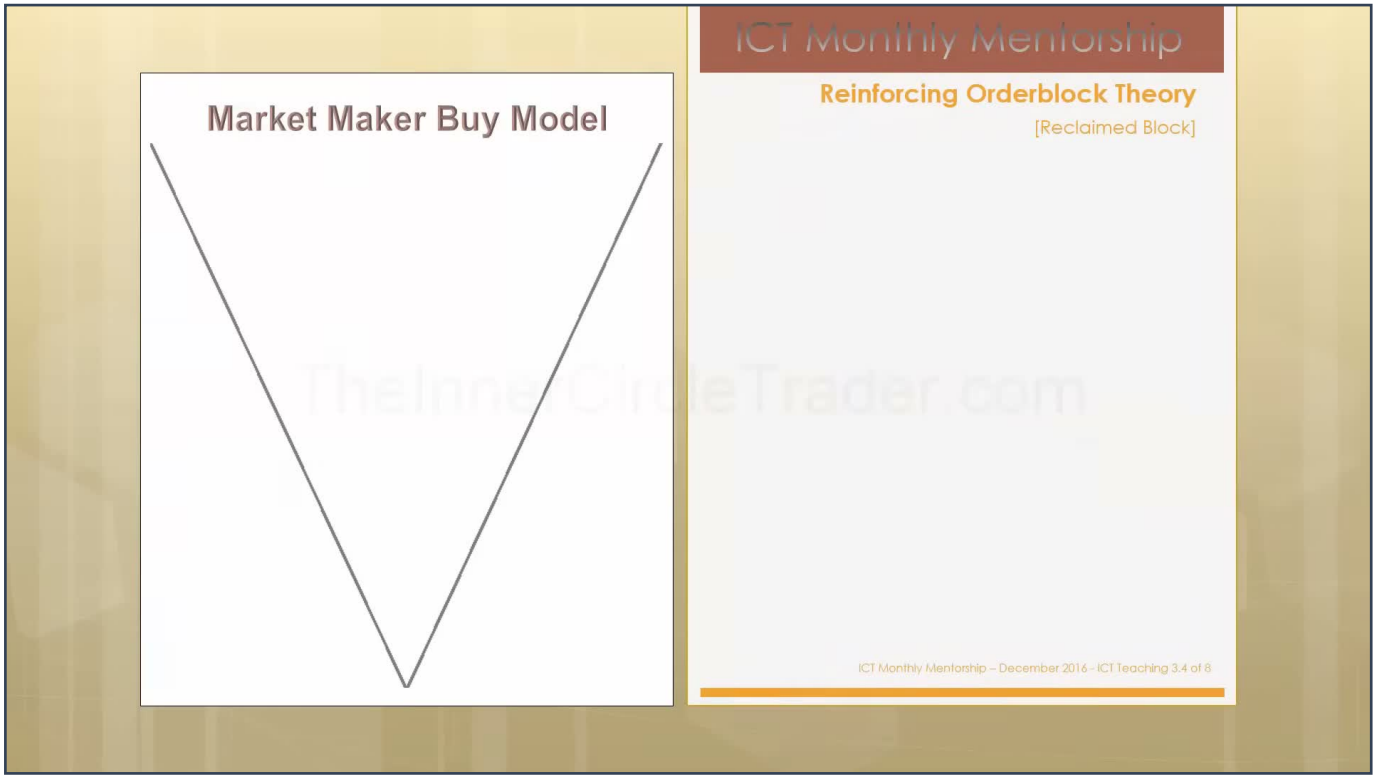
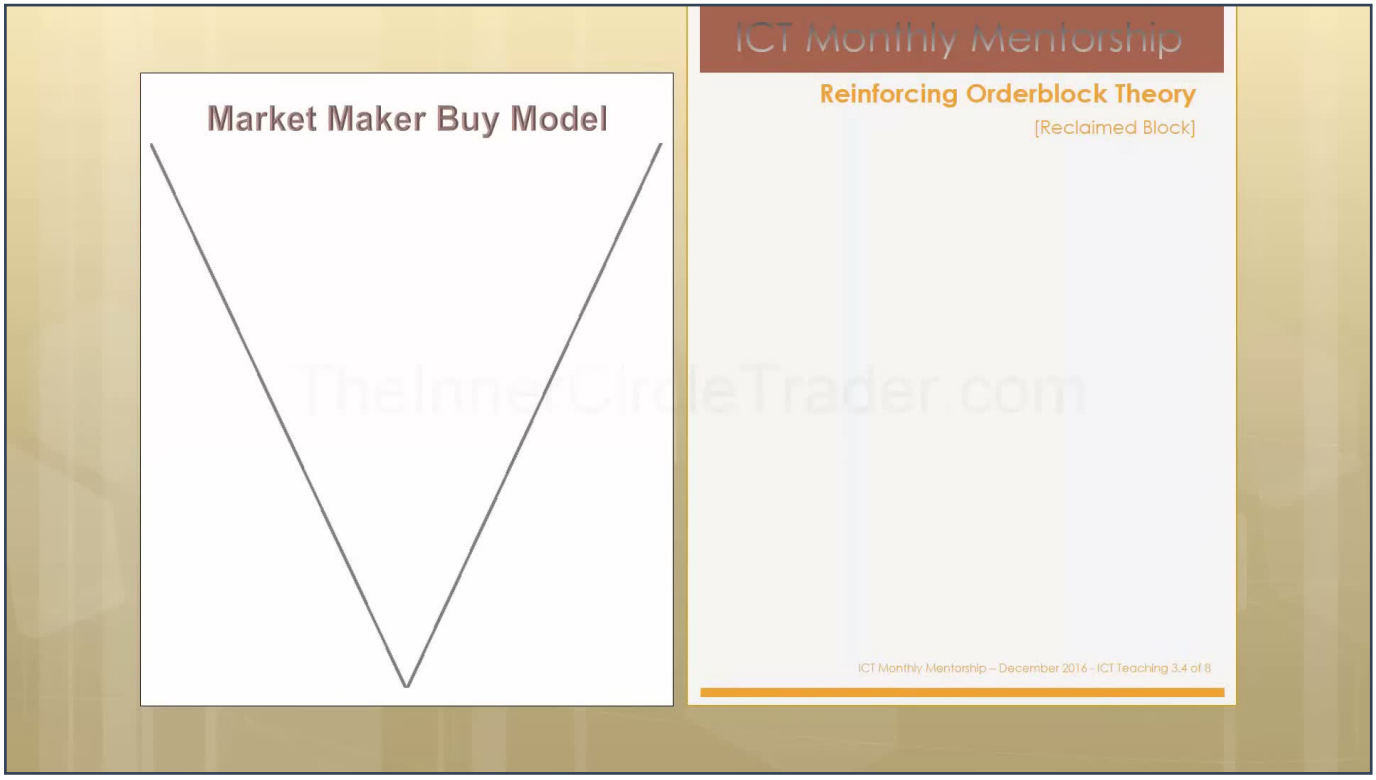
ICT MENTORSHIP CORE CONTENT

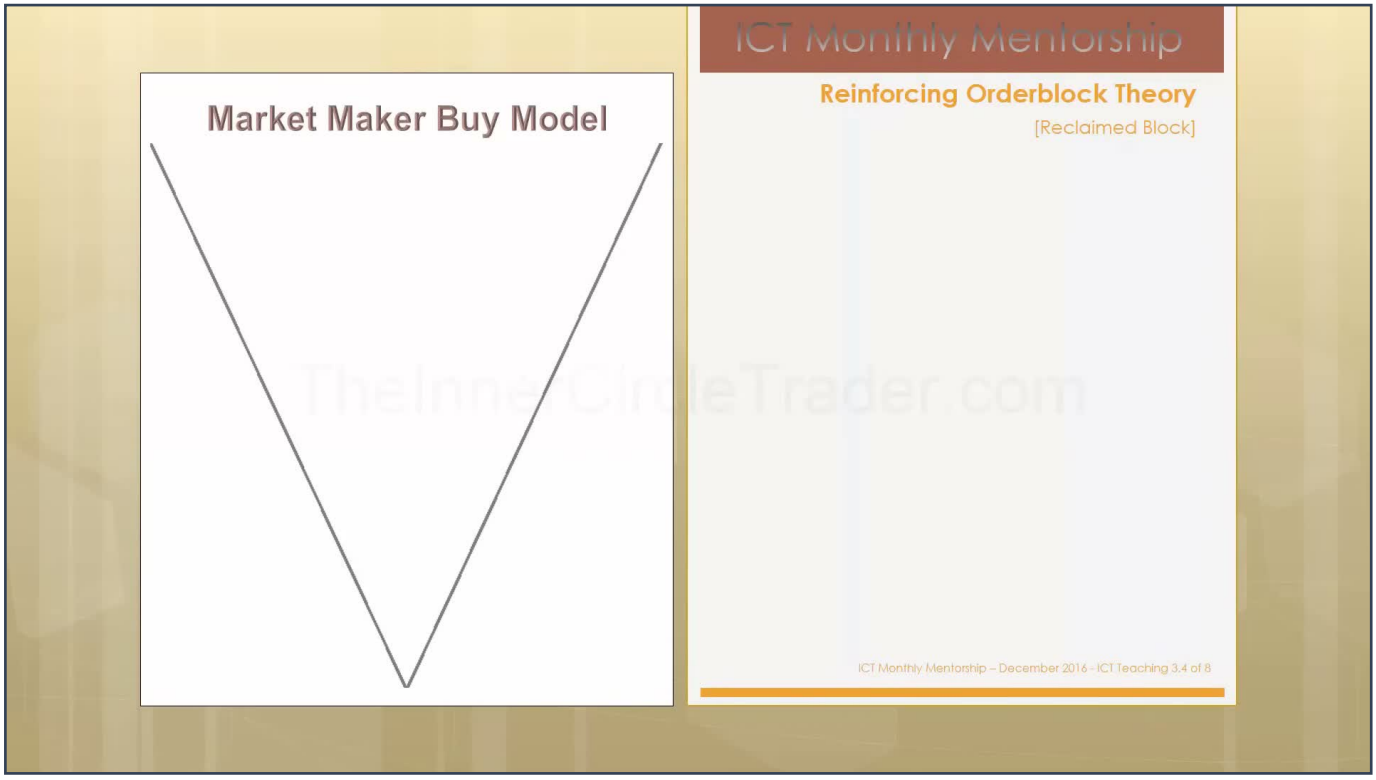
ICT MENTORSHIP CORE CONTENT - MONTH 04 - RECLAIMED ICT ORDERBLOCK



Welcome back folks. This is ICT Mentorship Core Content, Month 04, teaching 3.4. We are dealing specifically with the reinforcing order block theory and reclaimed blocks. We will be looking at the market maker buy model first.



What this essentially is, is when the market drops down and has a price swing lower, reaching into a higher time frame or immediate term support level. That support level can come in the way of an old high, an old low, a bullish order block, a filled void, or closing in on a fair value gap. Any one of those things could lend well to a price support level.



The idea is we're going to be anticipating that market move lower. You can anticipate it and watch it go lower and be short, or if you look at it and the move has already transpired, if you notice you have seen the decline down to a support level, we can start looking at specific levels to watch for reclaimed order blocks.

UNDERSTANDING THE SELL SIDE OF THE CURVE IN A MARKET MAKER BUY MODEL

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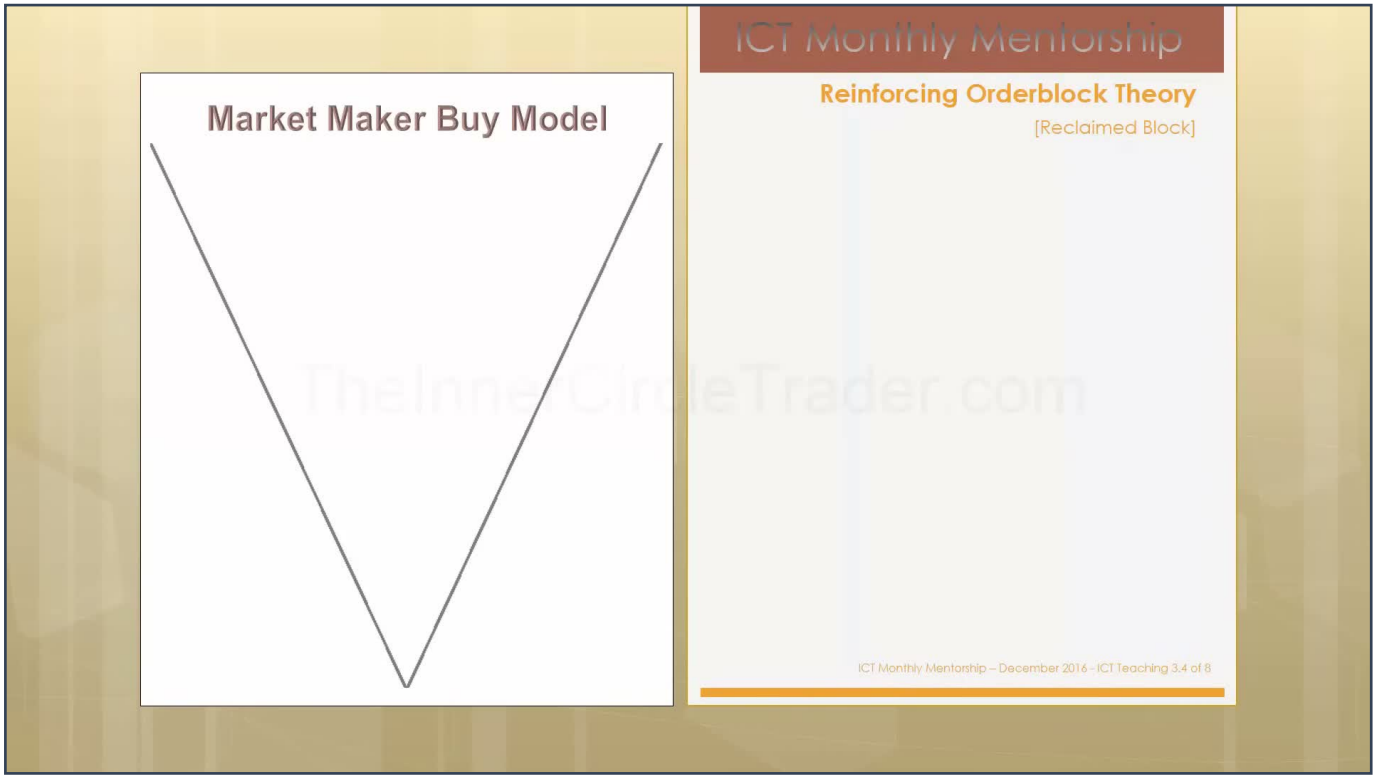
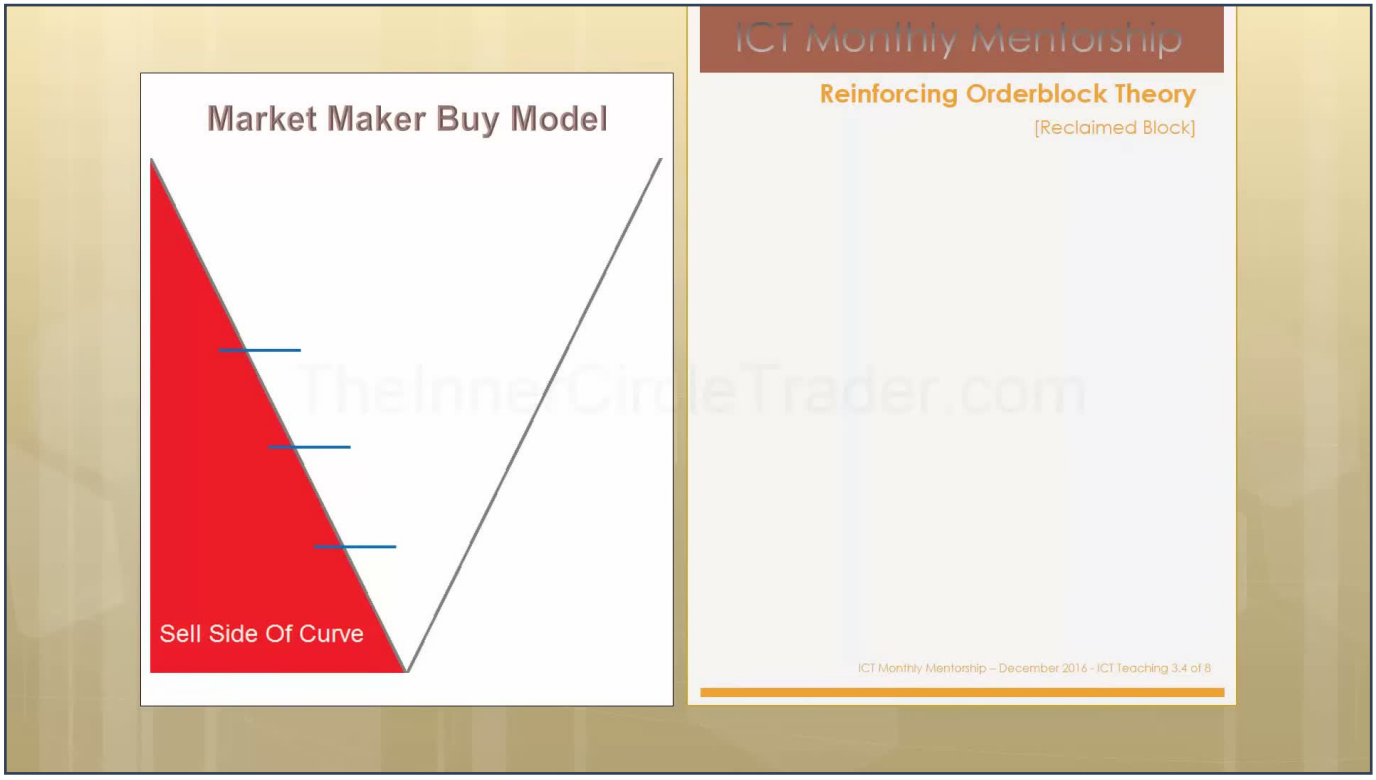


First, we have to understand the sell side of the curve on a market maker buy model. That's the drop down into that support level before we see the move higher. The market makers are going to be scaling in early, so they're going to have areas at which they start buying early because their positions are much larger than us as a retail trader.

They require a great deal of movement and time to price in their orders because they can't facilitate their entire order on one transaction, one specific move from a level. They have to scale that position in, and that's in the form of hedging. As the price drops down into the lower level support, they're going to be building in more positions.

You'll see as you watch price go lower and lower, there'll be small little transactions that cause the market to create short term little lows in the market. So as the market moves lower, every time we see a small little bounce in price action, that is a minor displacement, showing that there was new accumulation being taken into the marketplace. In other words, the smart money is actually accumulating new long positions.



You have to have the understanding that that lower level support that it's reaching for is going to be the ultimate price level it's most likely going to have its impulse price swing away from. Prior to that low being formed, like I said, there's going to be initial short term rallies that take place. Many times, traders that are looking at those as entry points, they end up getting stopped out because what they're doing is they're piggybacking on an entry that is based on a hedging motive on the market maker.

BULLISH ORDER BLOCKS ON THE SELL SIDE OF THE CURVE

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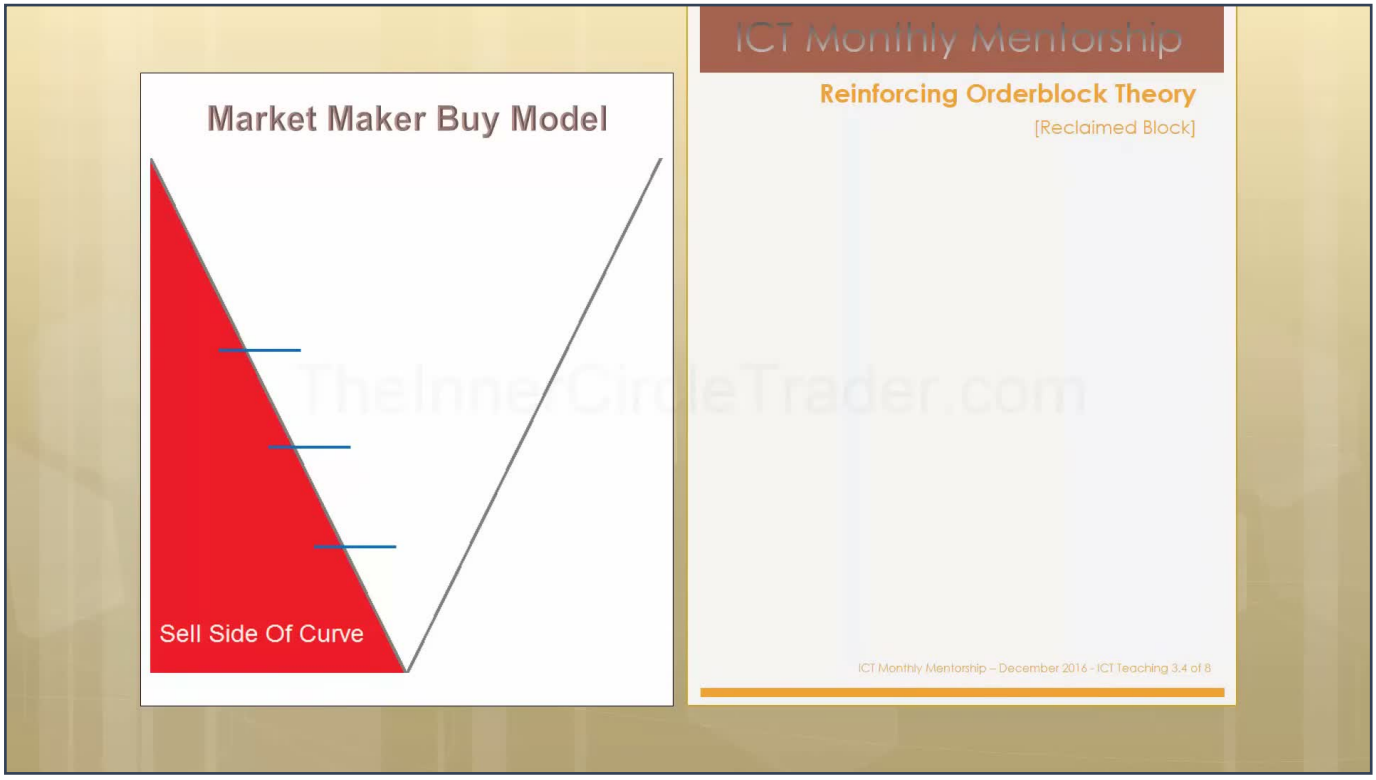
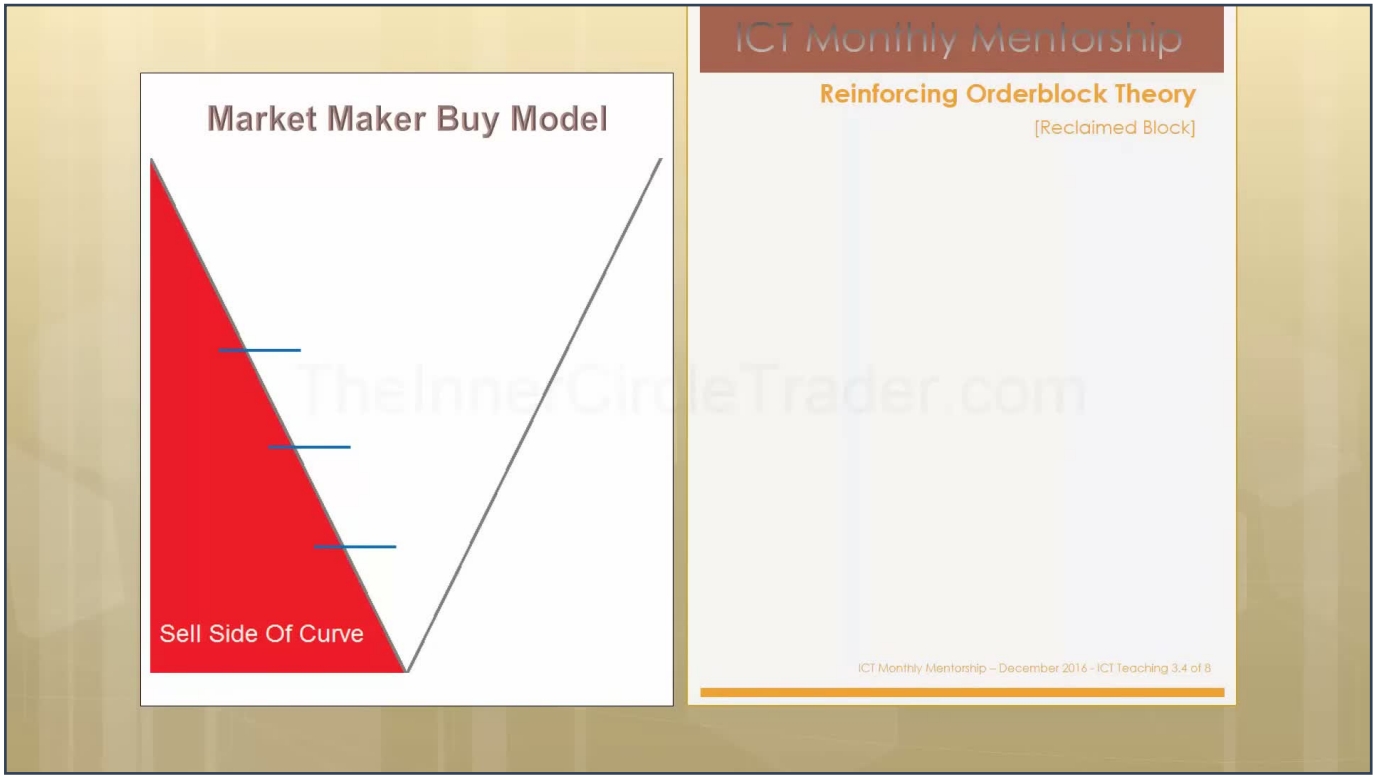


As the lows keep creating lower lows, but every time the price makes a smaller short term move higher, we're going to be referencing that last down candle because that's a bullish order block. But it's occurring, we're watching the bullish order blocks or the down candles right before a small little price move higher during the sell side of the curve.



Now this market maker buy model the curve is basically a price swing lower that trades higher. That's all market maker buy profile is, or market maker buy model. It's just understanding that the market is going lower to go higher eventually. We'll see the price move higher off of a major support level and we'll start seeing the buy side of the curve come underway.

The market will start pricing new higher highs, and as it does, we're going to be focusing on those old down candles during the sell side of the curve. Every time there was a bullish order block that was created on the major price swing going lower and it saw a little bit of a minor movement higher, that has indicated that there was hedging going on and that down candle is what we're going to be looking to reclaim or watch price recapitalize that old order block now that we're on the buy side of the curve. Every new buying opportunity is going to be matched up to the previous down candle while the price was dropping earlier on the sell side of the curve. And ultimately everything will match up with the down candles on both sides of the market maker buy model.

DEFINITION OF A BULLISH RECLAIMED BLOCK

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So, what is a bullish reclaimed block? It is a candle or bar that was previously used to buy price, and a short term bounce confirms minor displacement. In the buy side of the curve, these old blocks or down candles will be reclaimed for new longs.

EXAMPLE 1 - BULLISH RECLAIMED ORDER BLOCK

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Let's take a look at what it looks like in price action. Okay, we see the market dropping down from November 24th into November 29th. So we have a market maker buy model where the market's going down to go higher. See here, this down candle on the buy side of the curve right here. This down candle right before this movement up here, this displacement shows that this was an actual hedging where they were buying early and the market drops lower. Once it makes its low here, you can see the price did in fact come back down to this same down candle right to it here and was reclaimed or they recapitalized this old order block here, and price started to move higher.

EXAMPLE 2 - BULLISH RECLAIMED ORDER BLOCK

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The next level is here. This movement down prior to this displacement here. All of this movement here, this down candle, is a bullish order block on the right side of this low. Now we're on the buy side of the curve, and that's what this movement is here. Hits it right to the pip and then price moves higher. So they are two examples of reclaimed bullish order blocks.

Okay, now we're going to take a look at the market maker sell model. This is just the same thing, just in reverse, where we're anticipating the market to trade higher to go lower. You may not see it happen before the fact. You may notice that the market's making a high and you expect to see a sell-off, so we can use this information.

MARKET MAKER SELL MODEL - BUY SIDE OF THE CURVE (HEDGING)

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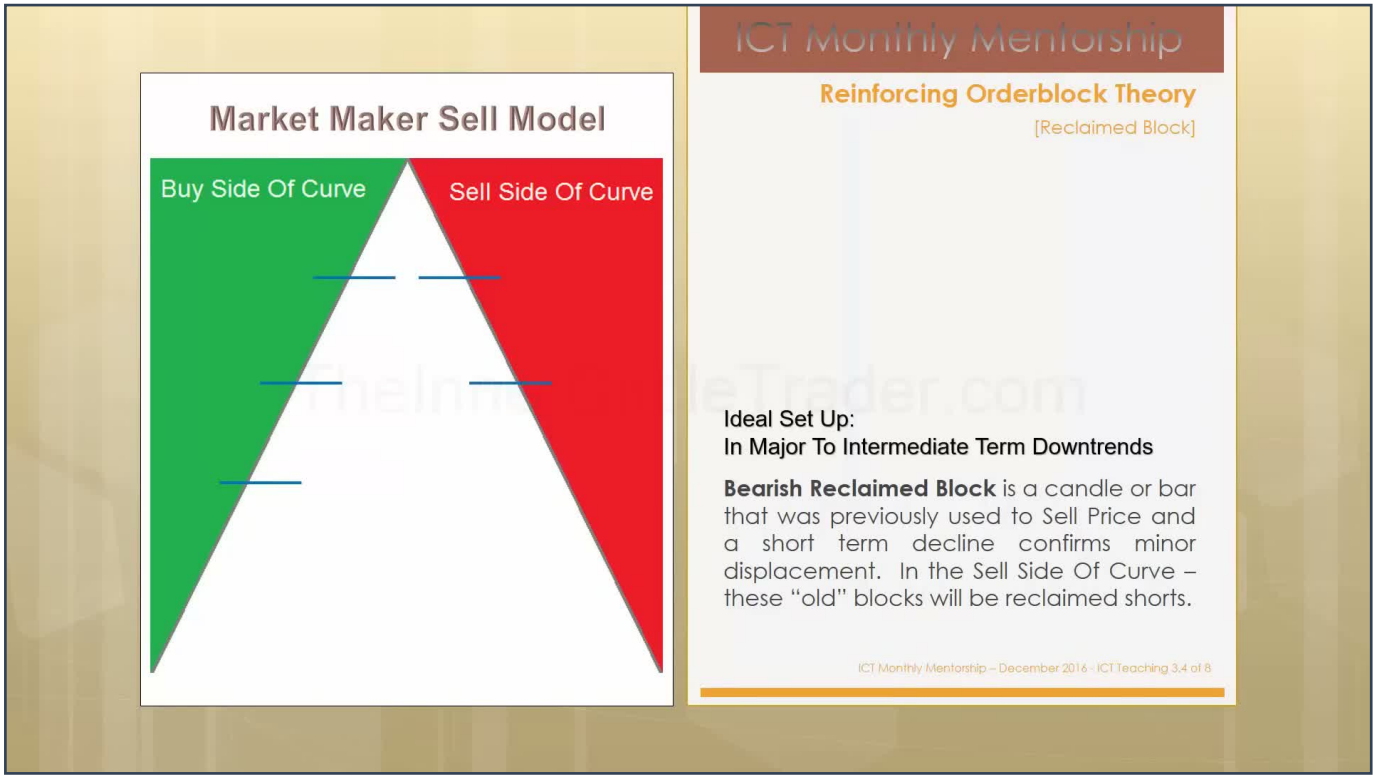
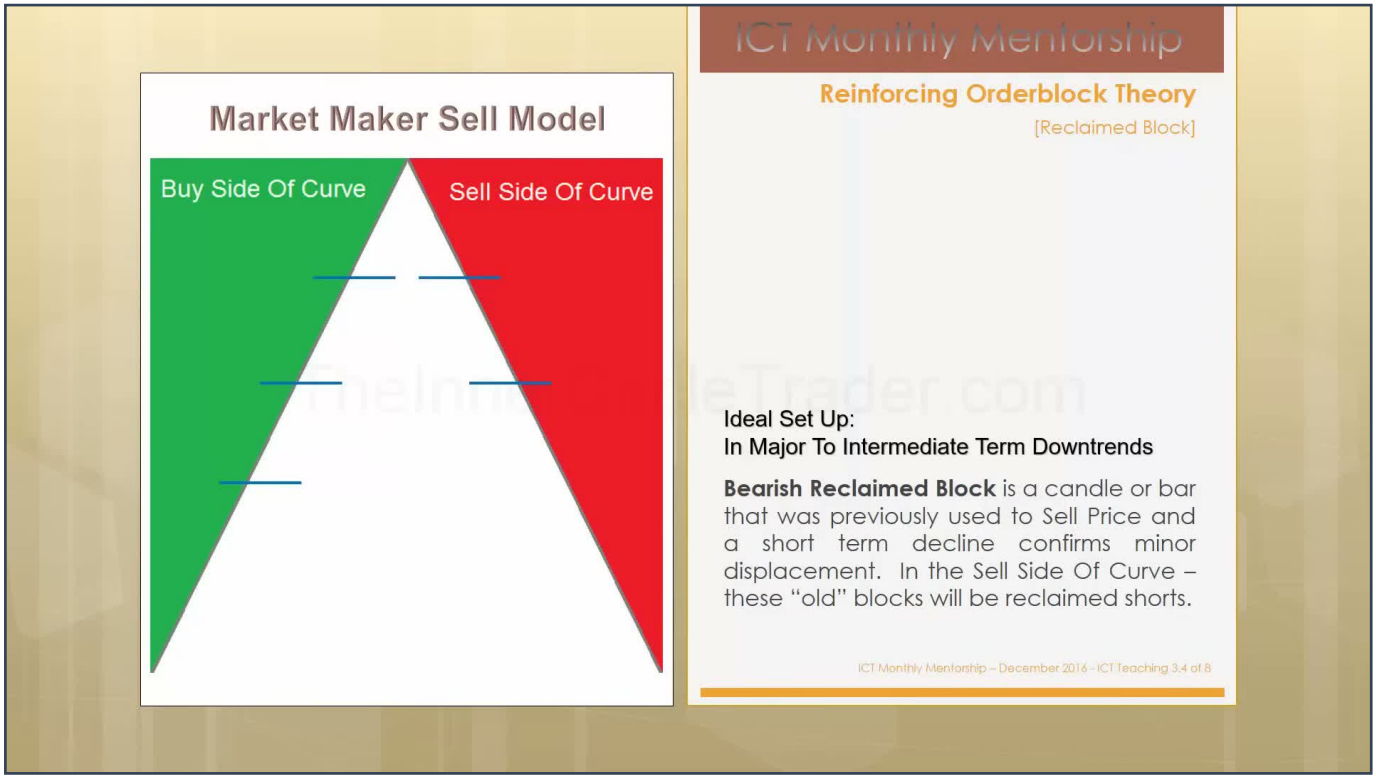
Just by focusing on the buy side of the curve, every up candle that sees a displacement or a short-term decline confirms that there are hedging underway. That means that they're selling short early, and market makers are selling into these rallies. When we get to the sell side of the curve, every single time we see the market trade back up into an up candle or bullish candle right before the down move during the buy side of the curve, that bearish order block is going to be reclaimed, and you can take that as a new short.



Again, matching up during the buy side of the curve while price is being built up into a premium, the market makers are actually going to hedge into that rally, selling short. They have deeper pockets than us; they can do this for a longer period of time. As they do this, they're pricing in more short positions. We can match that up and see it like X-ray vision into price action by looking at every single up candle that has a small displacement or short-term decline. That's confirming that there was hedging on the way.



Again, we understand that market makers and smart money, they're the only ones that can move price around. So if there is a displacement in price and we see bearishness after an up candle, we can assume that this is going to be evidence that they have been hedging and selling short early. When we get to the high and we climax there and start trading softer and going lower, every time we retrade back up into that old previous up candle during the buy side, but we're to the right of the high that's already formed, we can now take new shorts at these old bearish order blocks. Everything matching on the buy side of the curve to the sell side of the curve.

DEFINITION OF A BEARISH RECLAIMED ORDER BLOCK

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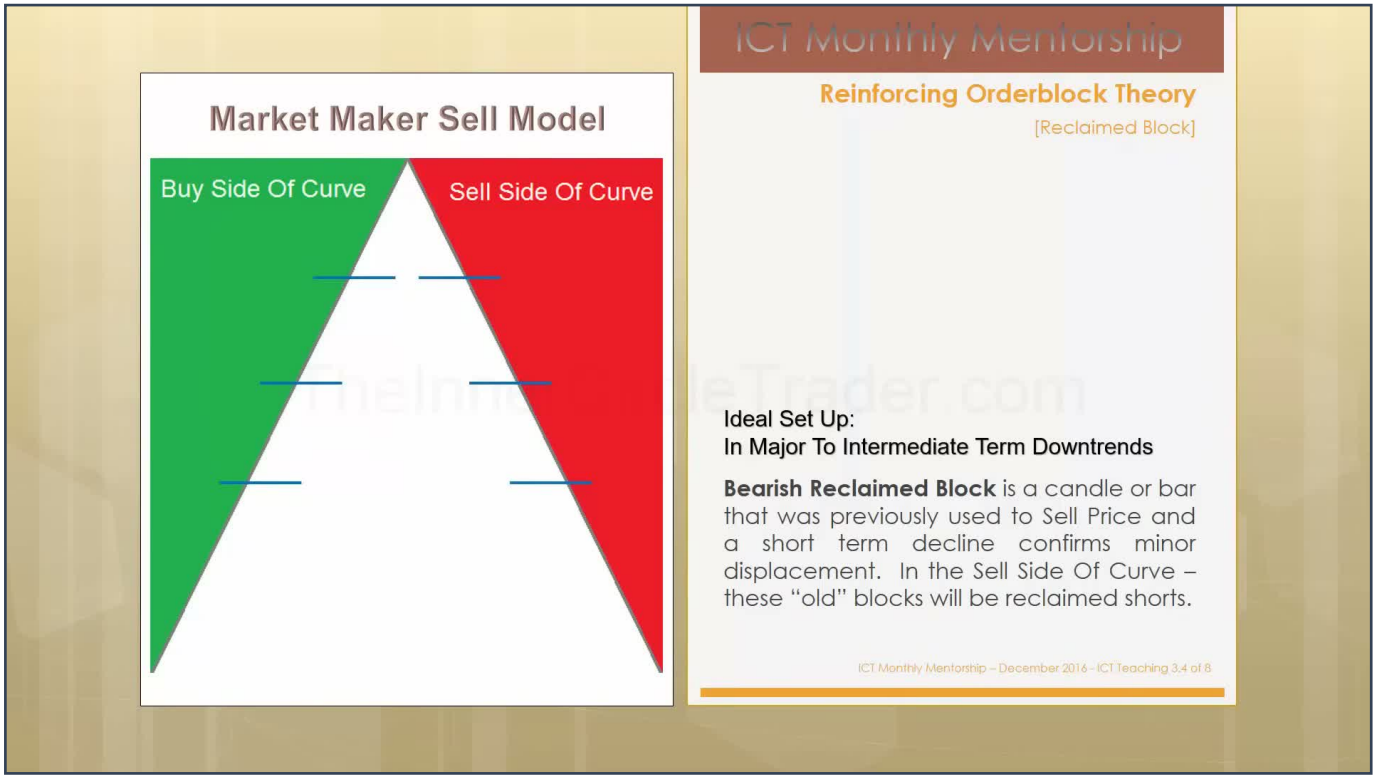

So again, in summary, a bearish reclaimed order block is a candle or bar that was previously used to sell price, and a short-term decline confirms minor displacement. In the sell side of the curve, these old blocks will be reclaimed shorts or new entries for short positions.

EXAMPLE 1 - BEARISH RECLAIMED ORDER BLOCK

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All right, let's take a look at this chart. We'll take a look at the example of a market maker sell profile and using the reclaimed order block. We're going to be looking at the sell side of the curve or to the right of the high, and we're going to be focusing on every up candle that showed a willingness to see price drop during the buy side of the curve or to the left of the high that formed. You see here, the last beefy candle right before this drop down, price trades up into it here and sells off.

EXAMPLE 2 - BEARISH RECLAIMED ORDER BLOCK

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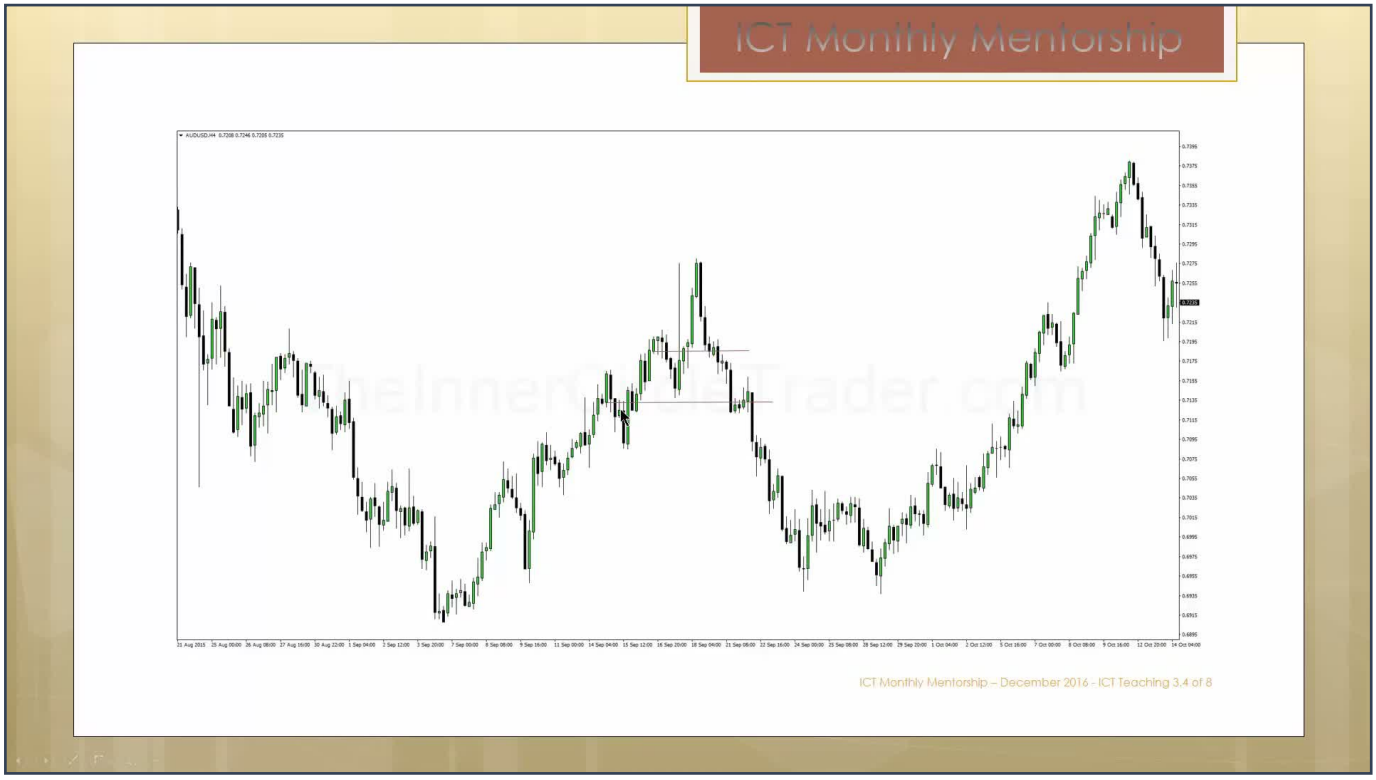

The next example is this up candle here, which would be a bearish order block. Would be reasonably seen as, in the free tutorials, you would think that this was probably a bearish indication to start looking for lower prices. It doesn't do that here; it trades through it, but we see a climax high. So now we see price doing what it trades up into this up candle. This is a new short.

EXAMPLE 3 - BEARISH RECLAIMED ORDER BLOCK

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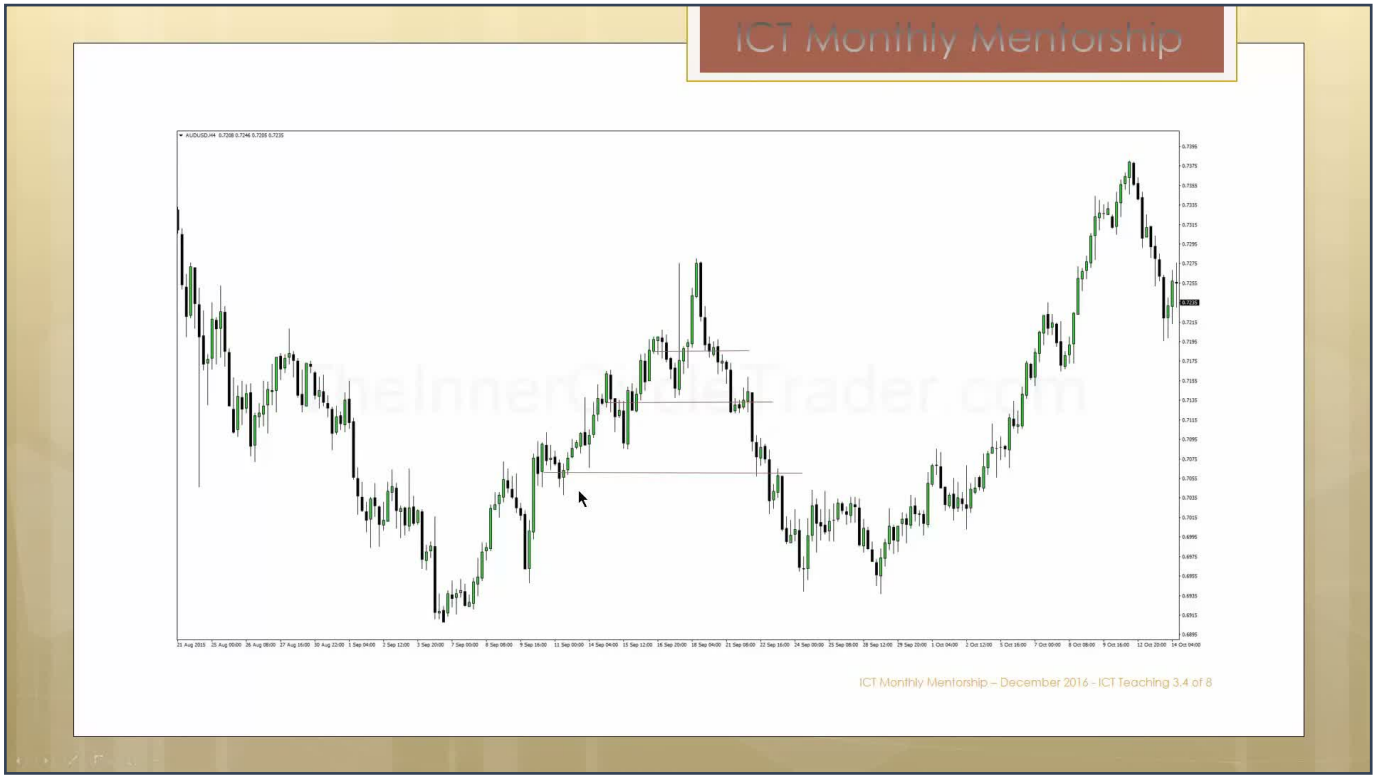
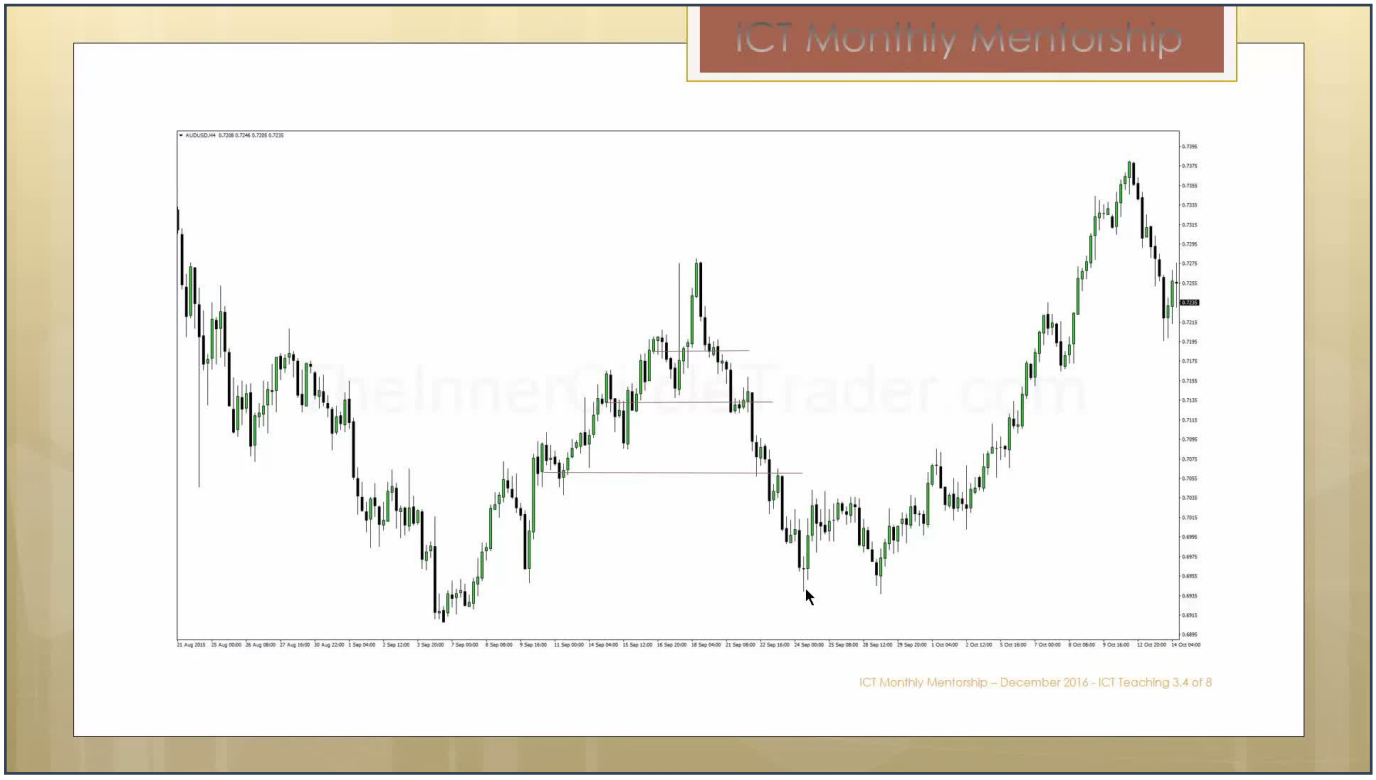


Another example here: this last up candle here, price trades up into it here very handsomely, sees that as a displacement lower here, so you started hedging here. This is a selling short opportunity to see the completion of the market maker sell profile.



So again, in summary, we use the market maker buy and sell models to be able to match up old order blocks during the buy side and the sell side of the curve, and we wait for that reclaimed mechanism that takes place where the market makers will use these same reference points and facilitate new positions. We'll build more on this idea as we go through the coming months of material, and you'll see examples of it before the fact, and I'll be able to map it out for you. But for now, study these examples and also go through your charts and find where you can see during price rallies like this and declines, map out all of the up candles, and during the decline side of the marketplace, you'll see that there's wonderful opportunities to get short that you would otherwise not notice. Until next time, I wish you good luck and good trading.